I'd seen on the faces of the sell-side analysts. I couldn't imagine what the human employees had to do all day except read novels. Then Mr. LeBaron reminded me, "Somebody has to program it."

It turns out the Battery March people were constantly tinkering with the computer's program, which had gone from a "corporate valuation strategy" to a "dividend discount model" to "a balance-sheet focus," and back to a "dividend discount model." "Just as you might own more than one stock, we've owned more than one strategy," said Mr. LeBaron. "Back in 1982 we favored growth stocks and cyclicals—now we like oil and gas." He put Battery March in the Fundamentalist camp, a sort of high-tech Prudential Speculator.

Mr. LeBaron gave me the results, which lately had been disappointing. Though the Battery March system had achieved an enviable return on investment over 10 years, in the current period the computer had failed to beat the market averages. When I left them, Mr. LeBaron and his colleagues were still debating what went wrong.

I could see that out-performing the overall market was no easy task for computers, any more than it was for hundreds of high-paid experts. In the *Wall Street Journal,* I read that most bond portfolio managers consistently fail to beat their market averages. Similarly, *Business Week* did a cover story on how the managers of stock portfolios hadn't beaten the market averages for three years in a row, with the majority doing much worse than the norm.

Here's a modest proposal for all the institutions and the mutual funds: fire the analysts and portfolio managers and invest in the market as a whole. That would save a lot of trouble, not to mention the millions in salaries and commissions now being thrown at a lost cause. Mr. Lipper told me there are mutual funds that already accomplish this. These funds simply buy all the stocks on the S&P-100 list, or all the stocks that make up the Dow Jones industrials, or all the bonds in the various bond indexes, and they've equaled the market average by definition. Their results are as good or better than what most investors, large and small, are paying extra money to try to achieve.